

Employing in Cyprus

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts registered with the Social Insurance Services
- **Monthly payroll** — salary payments in EUR, itemised payslips
- **Tax withholding** — progressive PAYE income tax withheld and remitted monthly
- **Social Insurance & GHS** — the full statutory contribution stack, including the multi-decade actuarial reform schedule
- **Leave and termination management** — notice periods, entitlements and Redundancy Fund guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Commonly up to 6 months by agreement	Termination of Employment Law
Employer registration	Must register in ERGANI via the Social Insurance portal before the employee's first day — no grace period	Social Insurance Law
Standard hours	8 hrs/day, 38–40 hrs/week (sector-dependent)	Organisation of Working Time Law

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	€1,000/month gross (€900 during the first 6 months of continuous employment)	Applies to full-time employment
Employer Social Insurance	8.8% of gross salary	Fixed at 8.8% until 2029; then rises every 5 years to 10.3%–10.7% by 2039
Employer GHS (GESY health contribution)	2.90% of gross salary	Capped at €180,000/year of total income
Other employer contributions (Redundancy Fund, Social Cohesion Fund, HRDA)	Combined ~3.7% of gross salary	Social Cohesion Fund has no upper limit; total employer on-cost is ~15.4%

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	20 working days/year (24 for a 6-day week)	Employer	Annual Holidays with Pay Law minimum
Sick Leave	Via Social Insurance from day 3, subject to contribution history	Social Insurance Services	Employer typically covers the first 2 days
Maternity Leave	18 weeks	Social Insurance Services (maternity allowance)	Job-protected

★ HERO TIP

Cyprus Social Insurance is capped at a relatively low annual insurable earnings ceiling (€68,904 for 2026) — once a senior employee's salary passes this threshold, no further Social Insurance contributions are due for that year on either side, though GHS keeps applying up to its separate, much higher €180,000 cap. Both employer and employee contributions stop at the Social Insurance cap simultaneously, so budget accordingly for higher-salaried roles.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer Social Insurance (8.8%)	\$264.00	8.80%
Employer GHS (2.90%)	\$87.00	2.90%
Other employer funds (illustrative, 3.7%)	\$111.00	3.70%
EOR service fee (HeroForce, Tier 3)	\$750.00	25.00%
Estimated total monthly cost	~\$4,212.00	~140.4%

HeroForce EOR service fee shown at USD \$750 per employee per month plus a one-time USD \$500 setup fee (Tier 3 pricing). Total Cyprus employer on-cost is approximately 15.4% above gross salary. Employee deductions (withheld separately) include Social Insurance (8.8%), GHS (2.65%) and progressive PAYE income tax.

Income Tax (2026)

Annual Income (EUR)	Rate
Up to €22,000	0%
€22,001 – €32,000	20%
€32,001 – €42,000	25%
€42,001 – €72,000	30%
Above €72,000	35%

Termination & Separation

Notice periods scale with length of service under the Termination of Employment Law, from 1 week (26 weeks – 1 year) up to 8 weeks (8+ years). Redundancy compensation is funded partly through the Redundancy Fund (a separate employer contribution) and calculated on tenure and final salary.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National
25 March	Greek Independence Day	National
1 April	Cyprus National Day	National
~April	Orthodox Good Friday and Easter Monday	National (Orthodox calendar)
1 May	Labour Day	National
15 August	Assumption Day	National
1 October	Independence Day	National
28 October	Ohi Day	National
25–26 December	Christmas Day and 2nd Day of Christmas	National

Ready to hire in Cyprus?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Cyprus employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$750** per employee per month plus a one-time **USD \$500** setup fee (Tier 3).